MECA
EMPLOYERS CONSULTING AGENCY

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NEWSLETTER

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WHAT EMPLOYERS ARE GETTING WRONG *this month*

Long-Term Sick Leave: Can You Terminate an Employee Because He Has Been Away Too Long?



> *"My employee has been on medical leave for almost two years. Can I terminate him?"*

Many employers think:

"Surely the employment contract cannot continue forever."

That instinct is understandable.

There are circumstances where the employment contract may come to an end automatically through a legal doctrine known as **frustration of contract.**

What is Frustration of Contract?



Frustration occurs when an unforeseen event makes the employment contract impossible, or fundamentally different, to perform.

In employment cases, this usually arises where:

- the employee suffers a serious illness;
- the employee becomes permanently incapacitated; or
- the employee is unable to return to work for such a long period that the employer can no longer obtain the benefit of the contract.

When frustration occurs:

The contract ends automatically by operation of law.

There is technically **no dismissal.**

The Industrial Court explained:

"Where this is the case there is in law no dismissal and therefore the employee's claim for unfair dismissal is bound to fail."

But Frustration is a Narrow Exception

MANY EMPLOYERS ASSUME:
Long MC = Frustration.
That is wrong.

THE COURTS HAVE REPEATEDLY EMPHASISED:
Every case depends on its own facts.

THE REAL QUESTION IS:
Can the employer reasonably be expected to wait any longer?

This principle was reaffirmed by the Industrial Court in ***Muhammad Rifa'i Sulaiman v Pusat Perniagaan Matahari Sdn Bhd [2025] 4 ILR 606.***

The Ingredients of Frustration

Before relying on frustration, employers should ask:

1 Is the incapacity temporary or permanent?



A short illness will not frustrate the contract.

The illness must be:

- serious;
- prolonged; and
- such that the employee cannot reasonably be expected to return to work in the foreseeable future.

2 What does the medical evidence say?



This is critical.

Do not speculate.

Do not rely solely on repeated MCs.

Employers should obtain:

- specialist reports;
- prognosis;
- expected recovery period; and
- assessment of future fitness for work.

> **The Court stated:**
> *"The decision to dismiss is not a medical question, but a question to be answered by employers in light of the available medical advice."*

3 How long has the employee been absent?



There is no fixed rule.

But the duration of absence is important.

The longer the absence, and the greater the uncertainty of recovery, the stronger the argument for frustration.

4 Is the employee performing a key role?



- Can the employer realistically keep the position vacant?
- Or are other employees forced to shoulder the work indefinitely?
- Business realities matter.

5 Is there a realistic prospect of recovery?



- This may be the most important factor.
- If doctors expect recovery within a reasonable time, frustration is unlikely.
- If the prognosis is uncertain or poor, frustration becomes a possibility.

CASE SPOTLIGHT

In Muhammad Rifa'i Sulaiman v Pusat Perniagaan Matahari Sdn Bhd [2025] 4 ILR 606. The employee suffered spinal injuries and underwent multiple surgeries. He was absent for 373 days on medical leave.

The employer:

- ✓ Waited more than one year.
- ✓ Obtained medical reports.
- ✓ Sought clarification from the treating doctor.
- ✓ Allowed the employee to perform light duties temporarily.
- ✓ Continued to manage the business despite operational difficulties.

However, the employee suffered another injury and remained medically unfit.

The employer finally terminated the employment due to frustration.

The Industrial Court upheld the decision.

The Court observed:

"The company had waited patiently for more than a year – 373 days to be exact."

and concluded:

"The company was fully justified ... to bring the claimant's employment contract to an end on the ground of frustration of contract due to prolonged and persistent absenteeism due to illness."



When Frustration Is More Likely To Apply

Examples include:

- ☑ Severe stroke causing permanent incapacity.



- ☑ Serious spinal injury with no foreseeable return to work.



- ☑ Permanent disability preventing performance of the employee's duties.



- ☑ Medical evidence showing no reasonable prospect of returning to work.



- ☑ Indefinite incapacity causing serious operational hardship to the employer.



When Frustration Will Not Apply

Employers often get these situations wrong.

Frustration generally does not apply where:

- ✗ The illness is temporary.



- ✗ The employee is undergoing cancer treatment with a favourable prognosis.



- ✗ The employee suffers depression but is expected to recover.



- ✗ The employer terminates solely because of lengthy MCs without proper medical assessment.



Common Employer Mistakes



01 Mistake #1

Assuming:

"He has been away too long."

Length of absence alone is not enough.



02 Mistake #2

Failing to obtain medical evidence.

Always obtain proper reports.



03 Mistake #3

Ignoring alternative duties.

Can the employee:

- perform light work?
- work remotely?
- be redeployed?

If yes, frustration may not apply.



04 Mistake #4

Using frustration to disguise retrenchment.

If the real reason is redundancy or cost cutting, call it what it is.

The courts will.



Employer's Practical Checklist



Before relying on frustration:

- ☑ Obtain independent medical evidence.
- ☑ Determine the prognosis.
- ☑ Assess whether recovery is likely.
- ☑ Consider alternative duties.
- ☑ Document operational difficulties.
- ☑ Record the impact on the business.



Final Takeaway



- **Frustration** is a narrow exception.
- A long absence alone **does not** end an employment contract.
- The real **question** is:

> ***"Has the employee's incapacity permanently destroyed the foundation of the employment relationship?"***





If the answer is **yes**, frustration may apply.

If the answer is **no**, an employer who acts too quickly may discover that what appeared to be frustration is actually an unfair dismissal.



And that can be a very **expensive** mistake.



MECA EVENTS

Briefings and member sessions for employers.

A quick look at MECA's **July 2026** programmes designed to keep employers informed, compliant, and prepared.

THU & FRI
9–10
July 2026

MECA PUBLIC COURSE

Handling Misconduct & Domestic Inquiry



WED
15
July 2026

MECA IR SERIES WEBINAR

Frustration of Contract: A Practical Guide for Employers on Long-Term Illness, Medical Incapacity, and Lawful Termination



FRI
24
July 2026

MECA MEMBERS' MEETING

A Deep Dive Into Performance Management



Why Attend

- Timely HR and IR updates
- Practical employer guidance
- Networking with industry peers

Our courses are designed to keep employers informed, compliant, and ahead. Reserve your seat today and discover practical HR and legal insights you can apply with confidence.

Register now or contact us for corporate training enquiries

Feature Article

A Doctor's Letter Is the Beginning of the Process, Not the Decision

Managing Medical Accommodation Requests Under Sections 60P and 60Q of the Employment Act 1955



One of the biggest misconceptions we continue to encounter is the belief that a doctor's recommendation automatically determines the outcome of a workplace request.

It does not.

Whether an employee is requesting to work from home, lighter duties, reduced hours or another form of medical accommodation, a doctor's recommendation is an important piece of evidence.

It is **not** the decision.

Yet this misunderstanding continues to create unnecessary tension in workplaces across Malaysia. Employees often believe that once a treating doctor recommends a particular arrangement, the employer has little choice but to accept it. Employers, on the other hand, frequently find themselves caught between wanting to support the employee while also maintaining operational requirements.

Neither side is entirely wrong.

But neither side is asking the right question.

This distinction has become increasingly important following the introduction of ***sections 60P and 60Q of the Employment Act 1955***, which provide eligible employees with the statutory right to apply for a Flexible Working Arrangement ("FWA"), including changes to their hours of work, days of work or place of work.

Importantly, however, these provisions create **a right to apply**. They do **not** create an automatic entitlement to work from home or to receive the arrangement requested.

Instead, Parliament has contemplated something far more practical.

An evaluation.

The employer remains responsible for considering the request, assessing the operational requirements of the business, evaluating the supporting medical information, and communicating its decision within the statutory timeframe, together with the reasons where the application is refused.

That process is not simply good practice.
It is increasingly what the law expects.

A Doctor's Recommendation Is One Piece of the Puzzle

It is important to remember that when a treating doctor recommends work from home or another accommodation, the recommendation is generally based on two things:

- the employee's current medical condition; and
- the information available to the doctor about the employee's work.

Doctors are experts in medicine.
Employers are experts in managing work.
Those are two different questions.

A doctor may conclude that an employee should avoid prolonged standing, reduce travel, or work from home during recovery. What the doctor cannot determine is whether those recommendations can realistically be accommodated within the operational requirements of a particular business, whether alternative duties exist or whether the essential functions of the role can still be performed safely.

That assessment belongs to the employer.

This is precisely why the law contemplates an evaluation process rather than automatic acceptance.



Unfortunately, this is also the stage that many organisations either rush through or avoid altogether.

Some employers reject requests almost immediately because they assume operational requirements must always prevail. The discussion quickly shifts towards whether the employment relationship can continue rather than whether the employee can be reasonably accommodated.

Others move to the opposite extreme.

Concerned about potential legal claims, they approve every request supported by a doctor's letter without examining whether the recommendation is medically necessary, operationally workable, or supported by sufficient information.

Neither approach reflects good industrial relations practice.

More importantly, neither approach reflects what the Industrial Court has consistently expected of employers.



The Two Mistakes Employers Continue to Make

In our experience, employers dealing with medical accommodation requests generally fall into one of two extremes.

THE FIRST IS
THE HARD-LINE APPROACH.

- The employee submits a medical report.
- Management immediately begins asking: *"Can we refuse this request?"*
- Operational inconvenience becomes the starting point.
- Medical evidence becomes secondary.
- Before long, attention shifts towards disciplinary action, medical separation, or termination without first understanding the employee's actual medical limitations or whether temporary adjustments may have resolved the issue.

THE SECOND ONE IS WHAT WE OFTEN REFER TO AS
THE SYMPATHY TRAP.

- Every recommendation is accepted without question.
- Temporary arrangements quietly become permanent.
- Performance discussions disappear.
- Managers avoid difficult conversations because they fear saying the wrong thing.
- In trying to demonstrate compassion, the organisation inadvertently removes structure, accountability and meaningful review from the process.

Neither approach is sustainable.

The law does not require employers to reject medical accommodation simply because it creates operational inconvenience.

Equally, it does not require employers to maintain temporary accommodations indefinitely simply because a doctor has recommended them.

The Industrial Court reinforced this point in Muhammad Rifa'i Sulaiman v Pusat Perniagaan Matahari Sdn Bhd [2025] 4 ILR 606, where it recognised that employers cannot reasonably be expected to wait indefinitely where there is no foreseeable framework for an employee's return to work.

The Court's focus was not whether the employee genuinely suffered from illness.

Nor was it whether the employer had shown sympathy.

Instead, the Court examined whether the employer had acted reasonably in light of the medical evidence, the operational realities of the business and the uncertainty surrounding the employee's recovery.

That reflects an important shift in thinking.

Industrial Courts are increasingly less concerned with whether an employer approved or rejected a request.

They are far more interested in how the employer reached that decision.

The Question Employers Should Really Be Asking

Perhaps the most common question we hear from employers is:

Can we refuse this request?

The better question is:

Do we have sufficient information to make an informed decision?

That single shift in thinking changes the entire process.

Instead of debating the diagnosis, employers begin gathering evidence.

Instead of focusing solely on the illness, they focus on the employee's functional capacity.

- Can the employee safely perform the inherent requirements of the role?
- If not, which duties remain possible?
- What temporary restrictions currently exist?
- How long are they expected to continue?
- Would reasonable workplace adjustments enable the employee to continue contributing without fundamentally changing the nature of the position?

These are not medical questions. They are management questions.

And they are precisely the questions the Industrial Court expects employers to answer before making decisions affecting an employee's continued employment.

Once employers begin asking the right questions, the process becomes considerably clearer.

The objective is no longer to decide whether to accept or reject a doctor's recommendation.

The objective is to gather sufficient information to make a fair, informed, and commercially sound management decision.



A Practical Framework for Managing Medical Accommodation Requests

Once employers move away from asking, "Can we refuse this request?" the next question naturally becomes:

"How should we assess it?"

In our experience, employers who navigate medical accommodation requests successfully rarely rely on instinct. Instead, they follow a structured process that balances medical evidence with operational realities.

The objective is not simply to determine whether accommodation should be approved.

It is to ensure that whatever decision is ultimately reached is fair, informed, and capable of being objectively justified.

Step 1 - Require a Formal Application

Every request involving a medical accommodation or Flexible Working Arrangement should go through a consistent and structured process.

Whether the request relates to work from home, modified duties, reduced hours, or another adjustment, employees should be required to submit a formal application supported by the relevant medical documentation.

This serves several important purposes.

First, it ensures every employee is assessed consistently rather than through informal conversations or ad hoc arrangements.

Secondly, it provides the employer with the information necessary to understand the medical basis of the request.

Finally, it demonstrates that the employer has approached the matter systematically and fairly, consistent with the framework contemplated under sections 60P and 60Q of the Employment Act 1955.

Consistency is particularly important.

Once employers begin making exceptions outside an established process, it becomes considerably more difficult to justify different outcomes in future cases.

A structured process protects both the employee and the organisation.

Step 2 - Understand the Medical Limitations

One of the most common mistakes employers make is focusing on the diagnosis rather than the employee's functional capacity.

A diagnosis rarely answers the questions employers actually need to know.

Knowing that an employee suffers from anxiety, cancer, a spinal injury, or another medical condition tells the employer very little about whether they can continue performing their role.

- Can the employee travel?
- Can they sit or stand for prolonged periods?
- Can they supervise staff?
- Can they safely operate machinery?
- Can they interact with customers?
- Can they attend the workplace three days each week?
- Can they perform the inherent requirements of their position?

Many medical certificates simply recommend "work from home" or "light duties" without addressing these issues.

Many medical certificates simply recommend "work from home" or "light duties" without addressing these issues.

Unfortunately, recommendations of this nature often create more questions than answers.

This was one of the issues highlighted by the Industrial Court in ***Mohd Termizi Hussein v Wilatrans Engineering Sdn Bhd [2025] ILRU 763,*** where the Court criticised the employer for making decisions without first obtaining sufficient medical information regarding the employee's actual functional capacity.

The lesson is straightforward.

Evidence first.

Decision second.

Step 3 - Compare the Medical Restrictions Against the Role

Once the employee's medical limitations are properly understood, the next step is to assess how those limitations interact with the inherent requirements of the position.

This is often where employers make unnecessary assumptions. A recommendation against prolonged standing may significantly affect a warehouse operator whose duties are physically demanding.

The same recommendation may have very different implications for an accountant who performs predominantly desk-based work.

Likewise, a recommendation to avoid interstate travel does not necessarily prevent an employee from continuing to perform most aspects of their role if travel forms only a small component of their overall responsibilities.

The assessment therefore should not begin with the question: "Can we accommodate this employee?"

Instead, ask:
"Which essential functions of this role remain capable of being performed, and what temporary adjustments might reasonably bridge the gap?"

Reasonable accommodation may include:

- temporary work from home arrangements;
- modified working hours;
- reduced travel requirements;
- redistribution of non-essential duties;
- temporary reassignment of selected responsibilities; or
- graduated return-to-work arrangements.

Importantly, reasonable accommodation does **not** necessarily require employers to remove the essential functions of a position or create an entirely new role.

The obligation is to consider reasonable alternatives—not to fundamentally redesign the employment relationship.

This principle was recognised in ***Malaysian Airports Holdings Berhad v Abdul Hamid Mydin [2016] 4 ILR 209***, where the Court emphasised the importance of genuinely considering alternative arrangements before concluding that continued employment was no longer possible.

Similarly, the decision in the Dapat Hotel case reminds employers that accommodation is not always an all-or-nothing exercise. Where an employee's medical restrictions permanently prevent them from performing their previous role, it may be appropriate to offer an alternative position with revised duties. Depending on the nature of those duties, this may also justify corresponding changes to remuneration, provided the arrangement is reasonable, transparent, and genuinely reflects the revised responsibilities.



Accommodation therefore should not be viewed simply as saying "yes" or "no".



Often, it involves identifying a practical middle ground.

Step 4 - Fill in the Gaps

Medical information is not always complete.
Where important questions remain unanswered, employers should not speculate.

They should ask.

With the employee's consent, employers should consider seeking clarification from the treating doctor or referring the employee for an independent assessment by the Company's panel specialist.

However, the questions asked are just as important as



Simply asking,
"Is the employee fit for work?"
is unlikely to produce meaningful guidance.

Instead, employers should provide the doctor with the employee's job description and ask practical questions such as:

- Which duties can the employee presently perform?
- Which duties should temporarily be avoided?
- Are the restrictions expected to be temporary or permanent?
- Is work from home medically necessary or simply recommended?
- Would partial office attendance be appropriate?
- What workplace adjustments would assist recovery?
- When should the employee be medically reviewed?



The **quality** of an employer's **decision** will rarely exceed the quality of the **information** upon which it is based.

The objective is not to challenge the doctor's opinion.

It is to ensure the opinion answers the questions the employer genuinely needs answered.

Step 5 - Develop a Management Plan

Accommodation should never become an open-ended arrangement without review.



Medical conditions evolve.



Recovery progresses.



Operational requirements change.



Management decisions should be capable of changing with them.

Where temporary adjustments are implemented, employers should clearly document:

- the adjustments being provided;
- the reasons for those adjustments;
- the review period;
- the medical information required at each review; and
- the anticipated return-to-work plan where appropriate.

Regular reviews allow both parties to assess whether the accommodation remains appropriate or whether further adjustments or different decisions have become necessary.

This is particularly important where work from home arrangements are implemented for medical reasons.

An arrangement that is appropriate today may no longer be appropriate six months later.

Conversely, an employee who was initially unable to perform certain duties may gradually recover and resume their full responsibilities.

The management plan should therefore remain dynamic rather than static.

It is a process of continual assessment, not a once-and-for-all decision.



- Ultimately, employers should remember that accommodation is intended to **support recovery** where reasonably practicable.
- It is **not intended to suspend normal management indefinitely.**
- A **structured management plan** ensures that compassion remains accompanied by accountability, regular review, and clear expectations for both the employee and the organisation.

What the Industrial Court Continues to Reinforce



While every medical accommodation request turns on its own facts, one theme consistently emerges from recent Industrial Court decisions.

The Court is rarely interested in whether an employer ultimately approved or rejected the employee's request.

Instead, it examines how the employer arrived at that decision.

- **Did the employer gather sufficient medical evidence?**
- **Did it understand the employee's actual functional limitations?**
- **Did it genuinely consider whether the employee could continue performing the inherent requirements of the role?**
- **Did it explore reasonable alternatives before concluding that accommodation was no longer viable?**
- **Above all, can the employer demonstrate that its decision was informed, balanced, and objectively justified?**

These questions appear repeatedly throughout the Court's reasoning.

In ***Muhammad Rifa'i Sulaiman v Pusat Perniagaan Matahari Sdn Bhd [2025] 4 ILR 606***, the Industrial Court accepted that employers cannot reasonably be expected to hold positions open indefinitely where there is no foreseeable return-to-work framework. Importantly, however, the Court's decision was not based simply on the employee's illness. It was based on the employer's ability to demonstrate that the medical evidence, the prolonged uncertainty, and the operational realities had all been carefully evaluated before reaching its decision.

Likewise, in ***Malaysian Airports Holdings Berhad v Abdul Hamid Mydin [2016] 4 ILR 209***, the Court emphasised that employers should genuinely consider reasonable accommodation before concluding that continued employment is no longer possible. The obligation was not to guarantee accommodation in every case, but to show that alternative arrangements had been properly considered rather than dismissed without evaluation.

Similarly, in ***Awang Ghazali v Malaysian Airports Holdings Berhad***, the Court focused on whether the employee remained capable of performing the inherent requirements of the role safely and effectively. Again, the emphasis was not on the diagnosis itself, but on the practical realities of the position and the supporting medical evidence.

Conversely, in ***Nor Hisham v Imaxx Services Sdn Bhd***, the Court reminds employers that accommodation cannot continue indefinitely where the employee is no longer capable of performing the essential functions of the role. While employers are expected to act fairly and reasonably, they are not required to postpone difficult decisions indefinitely where the medical evidence no longer supports continued accommodation.

Viewed collectively, these decisions reveal a consistent philosophy.

- The Industrial Court is not asking employers to become doctors.
- Nor is it asking employers to become counsellors.
- It is asking employers to become **good decision-makers.**

That means gathering sufficient information, understanding the employee's limitations, evaluating the operational impact, considering reasonable accommodations, and documenting why the eventual decision was reached.

Whether the outcome is approval, modified duties, a temporary flexible working arrangement, redeployment, medical separation or, in appropriate circumstances, termination, the Court expects the process to be thoughtful rather than reactive.

Ultimately, that is what procedural fairness looks like.



Practical Takeaways for Employers



Medical accommodation requests are becoming increasingly common across Malaysian workplaces. Flexible working arrangements, lighter duties, and temporary workplace adjustments are now regular features of industrial relations rather than exceptional circumstances.

Sections 60P and 60Q of the Employment Act 1955 have given employees a statutory mechanism to request flexible working arrangements.

They have not removed the employer's responsibility to evaluate those requests.

When faced with a doctor's recommendation, employers should resist the temptation to immediately ask:

"Can we approve this?"

or

"Can we reject it?"

- Instead, ask 5 practical questions -

1. Do we fully understand the employee's medical restrictions?

A diagnosis alone rarely provides enough information to make a workplace decision. Employers should understand the employee's functional capacity rather than simply the medical condition.

2. Can the employee continue performing the inherent requirements of the role?

The assessment should focus on the position itself, not assumptions about the illness.

3. Have we genuinely considered reasonable accommodations?

This requires more than simply accepting or rejecting a recommendation. Employers should actively consider whether temporary adjustments, modified duties, or alternative arrangements are reasonably available.

4. Do we have sufficient medical information?

Where uncertainty exists, seek clarification. The quality of the decision will depend on the quality of the information available.

5. Can we objectively explain why we reached this decision?

If every email, meeting note, medical report, and management discussion relating to the matter were produced before the Industrial Court tomorrow, would they demonstrate a fair, balanced, and evidence-based process?

-- That is ultimately the question every employer should keep in mind. --

Final Thoughts

There is a tendency to view a doctor's recommendation as the conclusion of the discussion.

In reality, it is the beginning.

It tells the employer that a medical issue exists.

It does not determine how the workplace should respond.

That responsibility remains with management.

Employers are not expected to become medical practitioners.

Nor are they expected to accept every recommendation without question.

Equally, they should not dismiss medical advice simply because it creates operational inconvenience.

The employer's role is far more practical.

- **Gather the evidence.**
- **Understand the employee's functional limitations.**
- **Assess the inherent requirements of the role.**
- **Consider reasonable accommodations.**
- **Review the available medical information.**



Then make a decision that is fair, informed, and capable of being objectively justified.

That is not only sound industrial relations practice.

It is increasingly what the Industrial Court expects of responsible employers.

Perhaps that is the simplest way to think about medical accommodation requests.

> A doctor's letter begins the assessment.
>
> **It should never make the decision.**

CASE SPOTLIGHT



Vikneshwaran Tathan v Sime Darby Plantation Berhad

Industrial Court Award No. 434 of 2026

Date of Award: 10 March 2026
Outcome: Claim dismissed; dismissal held to be with just cause and excuse.

1. BACKGROUND OF THE CASE

The Claimant was employed by Sime Darby Plantation Berhad, now known as SD Guthrie Berhad, as a General Worker from 5 November 2008. At the material time, he was performing the function of a Tractor Driver at Bukit Talang Estate. He was a daily-rated employee earning RM57.69 per day in 2023.

On 5 April 2023, the Claimant was assigned to drive the Company's tractor to collect loose oil palm fruits from several blocks and transport them to the designated fruit collection bin. He was assisted by another General Worker.

During a patrol, the Company's auxiliary police found the Claimant at the trench border between the Company's estate and a neighbouring smallholder oil palm plantation. Upon inspection, four bags of loose fruits were found outside the Company's land, concealed at the neighbouring plantation. The bags were similar to those used by the Company for collecting loose fruits. When questioned, the Claimant allegedly responded, "saya sikit juga ambil".

The Claimant was suspended on full pay effective 13 April 2023. After the Company completed its investigation, a show cause letter was issued on 29 May 2023 requiring him to explain why disciplinary action should not be taken. His reply dated 2 June 2023 did not materially address the first and second allegations.

A Domestic Inquiry was then convened on 23 and 25 August 2023. The Claimant attended the inquiry, was accompanied by National Union of Plantation Workers representatives, and pleaded guilty to the first and second charges. The third charge was dropped due to the unavailability of the Company's main witness.

At the inquiry, the Claimant gave mitigation, stating that he was facing family and financial issues, including pressure from illegal money lenders, insufficient salary, and his children's illness. He also stated that the misconduct only occurred for a short period of two days.

The Domestic Inquiry panel found him guilty of the two charges. The Company thereafter terminated his employment with immediate effect on 21 October 2023.

2. ISSUES BEFORE THE COURT

The Industrial Court had to determine whether the Claimant's dismissal was with just cause or excuse under section 20 of the Industrial Relations Act 1967.

In doing so, the Court applied the usual two-fold test in misconduct dismissal cases: First, whether the misconduct complained of by the Company had been established. Second, whether the proven misconduct was serious enough to justify dismissal.

More specifically, the key issues were:

1. Whether the Claimant had attempted to remove the Company's property, namely four bags of loose oil palm fruits, without authorisation.

CASE SPOTLIGHT

Vikneshwaran Tathan v Sime Darby Plantation ...*continued*

2. Whether the Claimant failed to carry out his duty to transport the loose fruits to the designated collection bin.

3. Whether the Domestic Inquiry was fair, particularly in light of the Claimant's argument that he did not fully understand Bahasa Melayu and should have been provided with a Tamil translator.

4. Whether dismissal was proportionate, considering the Claimant's long service of approximately 15 years and his mitigating circumstances.

3. COURT'S FINDINGS

A. The Court rejected the Claimant's language-comprehension argument

The Claimant argued that he did not fully understand Bahasa Melayu and that his admission of guilt during the Domestic Inquiry was made without full understanding.

The Court rejected this argument and treated it as an afterthought. The Court noted that the Claimant did not object when informed that the Domestic Inquiry would be conducted in Bahasa Melayu. He did not request an interpreter at any time. He also confirmed that Bahasa Melayu was used in his daily work communication, and he had union representatives present throughout the inquiry who could have assisted him.

The Court further observed that the Claimant was Malaysian, educated up to Form 4, had worked with the Company for approximately 15 years, and had communicated in Bahasa Melayu throughout his employment. The Court was therefore doubtful that he could not understand the Domestic Inquiry proceedings.

Importantly, after pleading guilty, the Claimant gave mitigation in Bahasa Melayu, explaining that his financial difficulties had caused him to commit the misconduct. This, in the Court's view, showed that he understood the proceedings and was seeking leniency, rather than denying the charges.

B. The first charge was established: unauthorised removal of Company property

The first charge concerned the Claimant's conduct in attempting to remove four bags of loose oil palm fruits from the Company's estate and placing them outside the Company's premises, at or near the neighbouring smallholder plantation.

The Court accepted the evidence of the Company's witnesses that the Claimant was seen at the trench border where he had no work-related reason to be. The Court also accepted that he left the area immediately after being spotted.

Four bags of loose fruits were later discovered in the smallholder plantation, concealed under palm fronds. The bags were confirmed to be identical to those used by the Company, and the Claimant admitted during cross-examination that the bags were Company bags and that the location where they were found was not Company property.

The Court also placed weight on the Claimant's admission at the scene, namely "saya sikit juga ambil", and the fact that he later reenacted the incident by demonstrating how he carried the bags across the trench using a wooden bridge.

The Court found that the Claimant's presence at the location was not a mere coincidence. His conduct, the discovery of the bags, the admission at the scene, the reenactment, and the subsequent plea of guilt at the Domestic Inquiry collectively established the first charge.

C. The second charge was also established: failure to perform assigned duties

The second charge concerned the Claimant's failure to transport the loose oil palm fruits collected from the assigned blocks to the designated fruit collection bin at Block 2000C.

The Court accepted the evidence that, as a Tractor Driver, the Claimant's routine duty was to collect the

CASE SPOTLIGHT

Vikneshwaran Tathan v Sime Darby Plantation ...*continued*

loose fruits and deliver them to the proper collection bin at the end of the working period. During cross-examination, the Claimant acknowledged this duty.

The Court therefore found that the second charge had been established.

D. Dismissal was proportionate

The Court held that the misconduct went to the root of the employment relationship. As an employee entrusted with the Company's property, the Claimant was expected to act with honesty, trustworthiness, and probity. The Court found that unauthorised removal of Company property compromised the trust and confidence necessary in the employment relationship.

The Court also noted that the Claimant knew that removing Company property without permission was wrong and contrary to the Company's Code of Conduct. This was not an accidental lapse or a case of ignorance, but a conscious and deliberate breach of the Company's rules.

Although the Claimant had served the Company for approximately 15 years, the Court held that long service does not immunise an employee from dismissal where the misconduct is serious.

Ultimately, the Court found that the Company had proven the charges on the balance of probabilities, and that dismissal was within the range of reasonable responses. The dismissal was therefore with just cause and excuse, and the Claimant's claim was dismissed.



4. TAKEAWAYS FOR EMPLOYERS

4.1. Theft or unauthorised removal of Company property remains serious misconduct

This case reinforces that employers do not need to prove theft to the criminal standard. In an employment context, the key question is whether the employee removed or attempted to remove Company property without authority, and whether that act destroyed trust and confidence.

Even where the value of the property is not high, the misconduct can still justify dismissal because the issue is not merely financial loss. The real issue is the breach of trust.

4.2. A properly conducted Domestic Inquiry strengthens the employer's position

The Company's process was important to the outcome. The Company suspended the Claimant on full pay, issued a show cause letter, held a Domestic Inquiry, allowed the Claimant to be accompanied by union representatives, recorded the proceedings, and considered the Domestic Inquiry findings before deciding to dismiss.

This shows the importance of process. Even where the facts appear strong, employers should still ensure procedural fairness, particularly for serious misconduct cases.



CASE SPOTLIGHT

Vikneshwaran Tathan v Sime Darby Plantation ...*continued*

4.3. Admissions and mitigation must be properly recorded

The Claimant's admission during the incident, his reenactment, his plea of guilt during the Domestic Inquiry, and his mitigation were all significant. The Court treated his mitigation as consistent with guilt, not as a defence.

For employers, this highlights the importance of accurately recording what the employee says at every stage inclusive of during preliminary questioning, show cause reply, Domestic Inquiry, and mitigation.

4.4. Language or comprehension objections should be addressed early

The Court rejected the Claimant's argument that he did not understand Bahasa Melayu because he had not raised this during the Domestic Inquiry, had used Bahasa Melayu at work, had union representatives with him, and gave mitigation in Bahasa Melayu.

Employers should still be careful. Where there is any indication that an employee may not understand the language of the proceedings, the Company should clarify this at the beginning of the inquiry and record the employee's confirmation. This helps prevent later allegations that the inquiry was unfair.

4.5. Long service is not a shield against dismissal

The Claimant had approximately 15 years of service. However, the Court held that long service does not excuse serious misconduct involving dishonesty or breach of trust.

From an IR perspective, length of service is relevant as mitigation, but it is not decisive. Where the misconduct strikes at honesty, integrity, and trust, dismissal may still be proportionate.

4.6. Employers should focus on trust and confidence, not merely monetary value

The better framing in cases involving Company property is not only "how much was lost", but whether the employee's conduct destroyed the employer's ability to continue trusting the employee.

In this case, the Claimant's role involved handling the Company's produce. Once he attempted to remove the Company's property without authorisation, the Court accepted that the Company could no longer repose trust and confidence in him.

4.7. Prompt investigation matters

The Company's witnesses acted immediately after the incident, inspected the area, documented the location, took photographs, and escalated the matter. This helped preserve the factual chain and gave the Court a clear evidential basis to assess the misconduct.

For employers, delay or poor documentation may weaken an otherwise valid disciplinary case.

PRACTICAL EMPLOYER LEARNING

This award is useful for employers because it confirms that in misconduct involving Company property, the Industrial Court will look at the totality of evidence: the employee's conduct, admissions, explanations, witness evidence, documentation, inquiry process, and the nature of the role.

The strongest point for the Company was not one single fact, but the cumulative effect of the evidence: the Claimant was found at an unusual location, the Company's property was discovered outside Company premises, he made an admission, he reenacted the act, he pleaded guilty at the Domestic Inquiry, and his mitigation was consistent with wrongdoing.

For employers, the lesson is clear which is a dismissal decision is more defensible when the Company can show both substantive justification and procedural fairness.

JUNE EVENT RECAP

MECA MEMBER'S MEETINGS

Want to Reduce Workplace Disputes? Legal Compliance is Not Enough



Some of the most valuable conversations are the ones that challenge long-held assumptions. That was precisely the focus of MECA's June Members' Meeting, where employers and HR professionals from various industries came together for an engaging and thought-provoking discussion on a question that sits at the heart of every workplace:

> *"Is legal compliance alone enough to prevent workplace disputes?"*

Led by **Mr. Dharmen Sivalingam, CEO of MECA**, the session departed from the traditional legal webinar format. Instead of focusing solely on legislation and case law, members were invited to examine the often-overlooked human dimension of employment relationships. The central message was both simple and powerful: while compliance with the law is fundamental, it is not, by itself, sufficient to keep employers out of the Industrial Court.

Drawing on more than three decades of experience advising employers across Malaysia, Dharmen explained that many HR professionals naturally devote significant attention to ensuring every disciplinary process, dismissal, and employment decision complies with statutory requirements. Whilst this remains an essential foundation, he challenged members to consider an equally important question:

> *How will the employee perceive the employer's actions?*

Using *Section 20 of the Industrial Relations Act 1967* as the starting point, the discussion examined the legal framework governing unfair dismissal claims before exploring the practical realities faced by employers. Members were reminded that the decision to file a representation is ultimately driven by an employee's perception that he or she has been dismissed without just cause or excuse. This perception exists long before a judge has the opportunity to determine whether the employer's decision was legally justified.

The session explored how employers may meticulously comply with every procedural requirement, from issuing show cause letters and conducting domestic inquiries to making well-supported disciplinary decisions, yet still find themselves defending an Industrial Court claim. This prompted a deeper discussion on the distinction between **legal compliance** and **effective dispute prevention**, encouraging employers to appreciate that the two are not always synonymous.

KEY FOCUS AREAS DISCUSSED

- Legal framework & unfair dismissal claims
- Human dimension in employment relationships
- Legal compliance vs dispute prevention
- Employee perception & its impact on decisions
- Building trust to prevent workplace disputes



JUNE EVENT RECAP...*continued*

One of the session's most compelling insights was the distinction between what Dharmen described as the **"silver medal"** and the **"gold medal."** Winning an unfair dismissal case after years of litigation may still represent legal success, but it inevitably involves significant time, costs, management resources and uncertainty. The true gold standard, he explained, is creating workplace environments where employees **choose not to challenge employment decisions because they genuinely perceive the process to have been fair, transparent, and respectful.**

Throughout the meeting, members actively participated by responding to interactive questions, sharing practical experiences and reflecting on real workplace scenarios. Rather than delivering a one-way lecture, the session encouraged meaningful dialogue, allowing participants to exchange perspectives on the challenges HR practitioners encounter when balancing legal compliance with the realities of managing people.

The discussion also highlighted the importance of trust, communication, and procedural fairness throughout the employment relationship. Members explored how respectful communication, early intervention, empathy, and transparency can significantly influence employee perceptions, often reducing the likelihood of disputes escalating into formal legal proceedings. While these principles may not always be expressly prescribed by legislation, they frequently determine whether an employee accepts an employer's decision or elects to challenge it.

As the session concluded, participants left with a renewed appreciation that successful industrial relations extend beyond understanding statutes and legal procedures. The most effective employers are those who combine sound legal compliance with thoughtful leadership, consistent communication and genuine respect for the individuals they manage. By addressing both the legal and human aspects of employment, organisations place themselves in the strongest possible position to foster positive workplace relationships while minimising the risk of costly disputes





The June Members' Meeting served as a timely reminder that compliance may establish the legal foundation for employment decisions, but fairness, trust, and perception are often what determine whether those decisions ultimately remain outside the courtroom.

> *Compliance may help you win in court. Trust, fairness, and perception may help you avoid court altogether.*

MECA 30 YEARS

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WHEN COMPLIANCE IS NOT ENOUGH

WHY LEGALLY SOUND DECISIONS STILL LEAD TO CONFLICT

7 – 8 OCTOBER 2026 | CONNEXION CONFERENCE & EVENT CENTRE



FEATURED SPEAKERS



DHARMEN SIVALINGAM
CEO, MECA



DATUK S. NANTHA BALAN
Retired Judge, Court of Appeal & presently a Consultant with Messrs. Adnan Sundra & Low



MAR AZLEENA OMAR
Regional HR Lead, VTTI

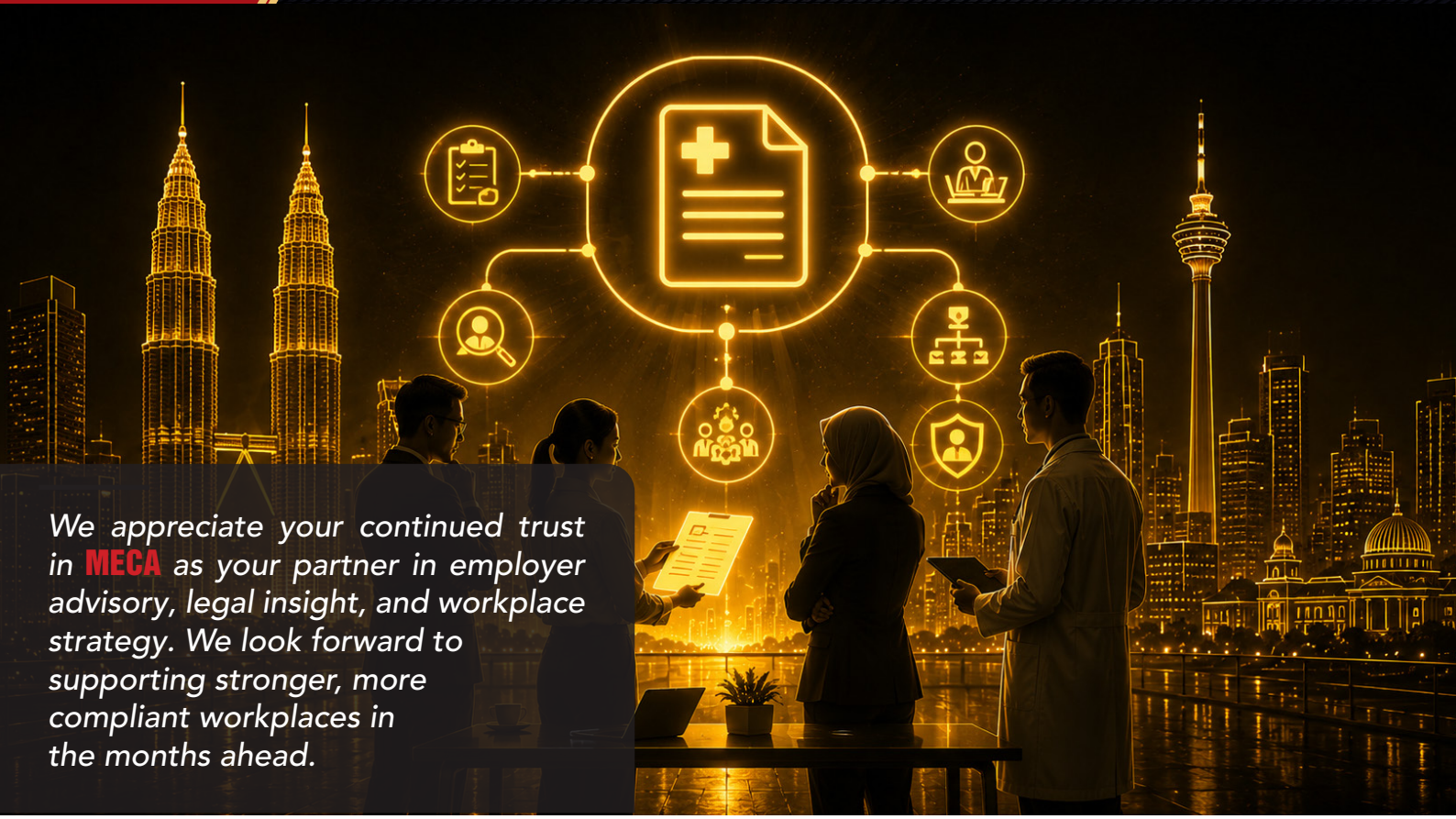


YONG HON CHEONG
Partner, Zaid Ibrahim & Co

EXPERIENCE IR DIFFERENTLY

This October, MECA invites employers to step into a different kind of Industrial Relations convention. Through three cinematic workplace scenarios and one live dramatization, the MECA IR Convention 2026 brings workplace conflict to life in an immersive and practical way. See how decisions unfold, how communication breaks down, and how perceptions harden into disputes. Learn the root causes of workplace conflict, challenge orthodox IR thinking, and discover how employers can prevent issues from escalating into legal battles.

Attend the 2026 MECA IR Convention, and see Industrial Relations differently.



We appreciate your continued trust in **MECA** *as your partner in employer advisory, legal insight, and workplace strategy. We look forward to supporting stronger, more compliant workplaces in the months ahead.*



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